Liabilities to Net Worth

The liabilities to net worth is a larger measure than the debt to net worth ratio and attempts to determine how dependent a company is on liabilities to fund its business. It is calculated by dividing the total liabilities of a company by its net worth. Net worth is arrived at after deducting intangible assets:

$$\text{Liabilities to net worth ratio} = \frac{\text{Total liabilities}}{\text{Net worth}}$$

Illustration

The Balance Sheet of Ravi Hawaii Ltd. is as follows:

	Rs. (lakh)
Shareholder's equity	158
Debentures	150
Term loans	40
Current Liabilities	40
	388
Tangible Assets	378
Intangibles	10
	388

The liability to net worth ratio would be:

$$\frac{230}{158 - 10} = 1.55$$

The company's liabilities are thus 1.55 times its net worth. Alternatively, liabilities finance 60.85% of the assets (230/230+(158– 10). This is an extremely useful ratio when one is determining how well shareholders would be compensated should the company go into liquidation.